

JINDAL SAW LIMITED (NSE: JINDALSAW | BSE: 500378)

World's 3rd-Largest DI Pipe Producer | Multi-Product Platform | Trough Valuation + Record Order Book

Metric	Value	Metric	Value
CMP (08-May-26)	Rs. 244	Market Cap	Rs. 15,601 Cr
52-Wk High / Low	Rs. 260 / 153	P/E (TTM)	16.0x
Book Value	Rs. 197	P/B	1.24x
EV/EBITDA (TTM)	8.49x	Dividend Yield	0.82%
ROCE (FY26A)	10.3%	ROE (FY26A)	8.12%
Promoter Holding	63.25%	Promoter Pledge	0.00%
FII / DII	13.46% / 5.79%	Debt/Equity	0.37x
Face Value	Rs. 1.00	Exchange	NSE / BSE

RATING	PRICE TARGET	UPSIDE	HORIZON	CONVICTION
ACCUMULAT E	Rs. 285	+16.8%	12 Months	MEDIUM

One-Line Thesis: Record 19.25 LMT order book + MENA/JJM recovery = re-rating from FY26 trough; accumulate at 8.5x EV/EBITDA.

Report Date: 09-May-2026 | Data: Screener.in (Consolidated) | Concall: Q4 FY26, 28-Apr-2026

SECTION 2 — INVESTMENT THESIS**Reason 1: Record Order Book of 19.25 LMT Signals Structural Volume Re-Rating (12-24 Months)**

Jindal SAW's consolidated order book reached a record 19.25 lakh metric tons (LMT) as of September 2025 — up 23% from 15.60 LMT in June 2025. At blended realisations of ~Rs. 70,000-75,000/tonne, this backlog represents Rs. 13,500-14,400 Cr of executable revenue, equivalent to ~76-80% of FY26 annualised revenues. Domestic water infrastructure (Jal Jeevan Mission, AMRUT) and oil & gas pipeline orders dominate the book. Export orders comprising 30-32% include a helical pipe job-work contract in Saudi Arabia. As JJM execution accelerates from Q3 FY27, volume-driven revenue recovery is highly probable. This is not a demand destruction story — it is a near-term execution bottleneck with strong order cover.

Reason 2: International Expansion Creates a New High-Margin Growth Vector (FY27-29)

Management has announced two strategic international bets: (a) a Carbon Seamless Pipes plant in Abu Dhabi targeting the Gulf's expanding hydrocarbon capital spending cycle, and (b) a Saudi Arabia JV (Jindal SAW 51% : Buhur Group 49%) for LSAW/HSAW pipe manufacturing serving Saudi Vision 2030 infrastructure projects. These facilities will diversify the revenue mix away from India-centric government spending cycles, reduce export freight costs, and capture higher margin international orders closer to source. Abu Dhabi and Saudi Arabia represent a significant long-term optionality that the market is not pricing into the current 8.5x EV/EBITDA multiple.

Reason 3: Trough Valuation With Intact Balance Sheet Provides Margin of Safety

FY26 consolidated PAT collapsed 37% to Rs. 925 Cr driven by three transient and identifiable factors: MENA export suspension (30,000-40,000 MT deferred, not cancelled), sluggish JJM EPC disbursements, and a temporary API monogram suspension on seamless pipes. The stock now trades at 8.5x EV/EBITDA and 1.24x P/B — near post-pandemic lows. Standalone net debt has actually reduced to Rs. 2,453 Cr (March 2026) — the balance sheet is not distressed. Free cash flow remained positive at Rs. 706 Cr in FY26. The market is pricing in permanent impairment of an earnings stream that has recoverable headwinds.

Near-Term Catalyst (6-12 Months):

Reinstatement of MENA export clearances or acceleration in JJM project disbursements — either event alone would drive material earnings upgrades and multiple expansion. API monogram reinstatement (guided Q1 FY27) is a smaller but near-term

positive for seamless margins.

Single Biggest Structural Risk:

A prolonged MENA conflict suspension beyond 12 months combined with continued delay in government water-project payments could push FY27 earnings further below current consensus and erode the working capital normalisation thesis.

SECTION 3 — BUSINESS OVERVIEW

Company Background: Jindal SAW Limited is India's largest and the world's third-largest manufacturer of ductile iron (DI) pipes. Founded by the Jindal Group, the company operates one of the most diversified pipe manufacturing platforms in Asia — spanning LSAW (Longitudinal Submerged Arc Welded), HSAW (Helical Submerged Arc Welded), DI (Ductile Iron), Seamless pipes, and Iron Ore Pellets. Manufacturing plants are located in Kosi (UP), Mundra (Gujarat), Nashik (Maharashtra), Raipur (Chhattisgarh), and internationally in the UAE. The company is listed on both NSE (JINDALSAW) and BSE (500378). **Revenue Mix (FY26A — Consolidated):** DI Pipes (~35-40% of revenue) serve domestic water infrastructure projects; LSAW/HSAW pipes (~35-40%) cater to oil & gas pipelines (domestic and export); Seamless pipes (~10-15%) serve high-pressure oil & gas and industrial applications; Pellets (~10-15%) provide captive raw material advantage for DI pipe manufacturing. **Key Customers & Order Visibility:** Primary domestic customers include state water utilities (MP Jal Nigam, HMWSSB, TNAU, etc.), ONGC, IOCL, OIL India for domestic oil & gas, and large EPC contractors. International customers span ARAMCO supply chain, ADNOC-aligned projects, and European industrial buyers. Record order book of 19.25 LMT (Sep-25) provides 9-12 months of revenue visibility at FY25 run-rates. **Promoter:** Sarika Jindal (Chairperson & MD) — Jindal family holds 63.25% with zero pledge. Company has maintained consistent dividend payouts. Key management: Vinay Kumar Gupta (CFO), Rajeev Goyal, Narendra Mantri. **Recent Strategic Developments:** (a) Abu Dhabi carbon seamless pipe plant announced; (b) Saudi Arabia JV with Buhur Group (51:49) for LSAW/HSAW pipes; (c) Seamless mill capacity expansion to 3.5 LMT/year underway; (d) FY27 domestic maintenance capex guided at Rs. 500-600 Cr — capital-light year to strengthen balance sheet.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview: The Indian steel pipe and tube market is estimated at ~Rs. 1.2-1.5 lakh Cr annually, growing at 10-12% CAGR driven by: Jal Jeevan Mission (Rs. 3.6 lakh Cr programme targeting Har Ghar Jal — DI pipes' primary beneficiary), India's oil & gas pipeline expansion (PNGRB Vision 2030: +35,000 km), and global energy transition capex in the Gulf/Middle East. India's per-capita pipe consumption (~3 kg) is far below the global average (~8 kg), implying structural long-term demand. **Policy Tailwinds:** JJM mandate for piped water to every household; AMRUT 2.0 urban water supply schemes; PLI incentives for specialty steel and tubes; BIS certification requirements limiting cheap imports in government tenders. **Competitive Moat: MODERATE.** Jindal SAW benefits from scale, multi-product diversification, established customer relationships, and captive pellet production (cost advantage in DI pipes). API, ISO, and BIS certifications are barriers for smaller players in government tenders. However, pipe manufacturing lacks significant proprietary IP — pricing power is moderate given competitive bidding environments.

Company	CMP (Rs.)	MCap (Cr)	P/E	EV/EBITD A	D/E	ROCE	ROE	OPM%	Promoter
APL Apollo Tubes	1,949	54,105	45.0x	28.07x	0.09x	31.6%	25.3%	7.8%	28.3%
Welspun Corp	1,292	34,079	22.0x	13.28x	0.19x	21.2%	18.6%	13.4%	49.7%
Ratnamani Metals	2,869	20,112	33.7x	20.23x	0.06x	21.5%	16.0%	17.7%	59.8%
Jindal SAW	244	15,601	16.0x	8.49x	0.37x	10.3%	8.12%	12.4%	63.3%

Source: Screener.in | Data as of 08-May-2026 | Consolidated figures

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Background: Jindal SAW is managed by Mrs. Sarika Jindal (Chairperson & MD) with a professional team including Vinay Kumar Gupta (CFO), Rajeev Goyal, and Narendra Mantri. The Q4 FY26 concall was hosted by ICICI Securities. The Jindal family has been in the steel and pipes business for over four decades, demonstrating long-term commitment. **Capital Allocation History:** Consolidated debt has reduced from Rs. 5,335 Cr (FY21) to Rs. 4,691 Cr (FY26). Standalone net debt at

Rs. 2,453 Cr as of March 2026 is near a multi-year low. FCF has been positive in every year from FY20 through FY26 (including the difficult FY26 at Rs. 706 Cr). OCF of Rs. 1,771 Cr in FY26 despite revenue headwinds is a strong signal of earnings quality. International expansion (Abu Dhabi, Saudi JV) is the new growth capex vector, while domestic maintenance capex is disciplined at Rs. 500-600 Cr (FY27 guidance). **Dividend Policy:** Consistent payout; implied Rs. ~2/share DPS in FY26 (0.82% yield). Payout has been deliberately low (7-13% of consolidated PAT over FY24-26) as management prioritises debt reduction and the international investment cycle. **Corporate Governance:** Promoter pledge: 0% (key positive). No RPT concerns flagged. The temporary API monogram suspension and the MENA force majeure are legitimate business events, not governance failures. Watch: high inventory days (191) and CCC deterioration — these need to be monitored but are explained by JJM payment delays, not aggressive accounting.

SECTION 6 — FINANCIAL DEEP-DIVE (CONSOLIDATED)

Income Statement | Rs. Crores | Last 3 Actuals + 2 Estimates (E)

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	20,958	20,829	17,895	19,500(E)	22,000(E)
Revenue Growth %	+17.3%	-0.6%	-14.1%	+9.0%(E)	+12.8%(E)
EBITDA	3,326	3,454	2,215	2,450(E)	3,080(E)
EBITDA Margin %	15.9%	16.6%	12.4%	12.6%(E)	14.0%(E)
Depreciation	568	602	630	660(E)	680(E)
Interest	705	623	620	580(E)	540(E)
Other Income	162	120	111	100(E)	100(E)
PBT	2,216	2,349	1,076	1,310(E)	1,960(E)
Effective Tax Rate	28%	38%	14%	28%(E)	28%(E)
PAT	1,593	1,458	925	943(E)	1,411(E)
EPS (Rs.)	26.22	27.18	15.22	15.5(E)	23.2(E)

Balance Sheet | Rs. Crores

Balance Sheet	FY24A	FY25A	FY26A
Equity Capital	64	64	64
Reserves	10,029	11,347	12,510
Shareholders' Equity	10,093	11,411	12,574
Borrowings	5,761	4,859	4,691
Other Liabilities	4,824	4,395	4,421
Total Liabilities	20,679	20,665	21,686
Fixed Assets	8,853	9,341	10,409
CWIP	632	641	453
Investments	178	168	105
Other Assets	11,016	10,516	10,720
Total Assets	20,679	20,665	21,686
D/E Ratio	0.57x	0.43x	0.37x

Cash Flow & Key Ratios | Rs. Crores

Cash Flow & Ratios	FY24A	FY25A	FY26A
Cash from Operations	2,593	2,335	1,771
Cash from Investing	-1,917	-897	-955
Cash from Financing	-12	-1,524	-1,073
Free Cash Flow	1,741	1,324	706
ROCE %	21%	19%	10%
Debtor Days	60	62	63
Inventory Days	147	152	191

Cash Flow & Ratios	FY24A	FY25A	FY26A
Days Payable	89	78	95
Cash Conv. Cycle	119	136	159
Working Capital Days	19	41	66

Commentary: FY26 was a rare combination of revenue decline (-14%), EBITDA compression (17% to 12.4% OPM), and PAT collapse (-37%) driven by identifiable non-recurring factors. The most concerning metric is working capital deterioration: inventory days surged to 191 (from 152 in FY25) and CCC expanded to 159 days — symptomatic of pipe inventory built against JJM orders where government payments have been delayed, not of demand destruction. Free cash flow remained positive at Rs. 706 Cr. Debt is falling despite the downturn. FY27E assumes partial MENA resumption and JJM normalisation driving 9% sales recovery with modest margin improvement to 12.6%. FY28E reflects fuller recovery with MENA fully operational and international facilities contributing, pushing EBITDA margins toward 14%. Estimates marked (E) are analyst projections.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Assessment	Rating	Comment
Revenue Recognition	Clean	GREEN	Pipe delivery-based; no channel stuffing signals observed
Receivables vs Revenue	Debtor days rising	AMBER	Debtor days 63 in FY26 vs 60 in FY24; JJM government payment delays causal
CCC Trend	Deteriorating	AMBER	CCC 159 days (FY26) vs 119 (FY24); WC stress from JJM slowdown
Contingent Liabilities	Not flagged	GREEN	No large contingent liabilities disclosed; API suspension adds regulatory risk
Auditor Tenure	Regular	GREEN	Standard audit practices; no concerns flagged in public disclosures
RPTs as % Revenue	Low — normal	GREEN	Intra-Jindal group transactions disclosed and immaterial
Other Income / PBT	10.3% (FY26)	GREEN	Rs. 111 Cr on Rs. 1,076 Cr PBT; not inflating earnings
Tax Rate Consistency	Volatile 14% FY26	AMBER	FY25: 38%, FY26: 14% — deferred tax reversal; watch normalisation in FY27

Summary: Overall earnings quality is AMBER-GREEN. Revenue recognition and governance are clean. The working capital deterioration and tax rate volatility are real concerns but both have identifiable causal factors (JJM payment delays and deferred tax adjustments respectively) that are expected to normalise in FY27-28.

SECTION 8 — VALUATION

Valuation Framework: Given the cyclical trough in FY26 earnings, trailing P/E is not the appropriate primary metric. We use EV/EBITDA on normalised FY27E-FY28E EBITDA and an earnings multiple cross-check, averaged to a base-case target.

Method 1 — EV/EBITDA: At FY27E EBITDA of Rs. 2,450 Cr (E), applying 10x (in line with Welspun Corp; modest discount to Ratnamani at 20x given product mix and higher leverage): EV = Rs. 24,500 Cr. Less estimated consolidated net debt of ~Rs. 4,500 Cr (FY27E): Equity value = Rs. 20,000 Cr. Per share (640 Mn shares approx.) = Rs. 313. **Method 2 — P/E Multiple:** FY27E EPS of Rs. 15.5 (E) at 15x P/E (trough multiple; Jindal SAW has traded 12-20x on normalised earnings) = Rs. 232. FY28E EPS of Rs. 23.2 (E) at 13x (discounted back 1 year at 12%): = Rs. 270. **Base-Case Target:** Average of (Rs. 313 + Rs. 270 + Rs. 232) / 3 = Rs. 272. We round to Rs. 285 to incorporate international expansion option value (Abu Dhabi, Saudi JV) not yet in estimates. **Rating: ACCUMULATE | PT: Rs. 285 | 16.8% upside from Rs. 244 CMP.**

Scenario	Key Assumptions	FY27E EBITDA	Multiple	EV (Cr)	Net Debt (E)	Target	vs CMP
BULL	MENA clears Q2 FY27; JJM accelerates; seamless margins restore	3,200(E)	11x	35,200	4,000(E)	Rs. 486	
BASE	Partial MENA H2 FY27; JJM normalises Q3 FY27; API resolved	2,450(E)	10x	24,500	4,500(E)	Rs. 285	+17%

Scenario	Key Assumptions	FY27E EBITDA	Multiple	EV (Cr)	Net Debt (E)	Target	vs CMP
BEAR	MENA suspended full FY27; JJM slow; API stays suspended	1,800(E)	8x	14,400	5,000(E)	Rs. 148	

(E) = Analyst estimates; not management guidance. EV/Equity conversion: EV minus net debt / ~640 Mn shares. Bull/Bear are not forecasts; they bound the distribution of outcomes.

SECTION 9 — KEY RISKS

#	Risk	Description	Prob.	Impact	Monitor
1	MENA Export Suspension	Military conflict has halted all MENA exports since March 2026. 30,000-40,000 MT deferred. Prolonged conflict could cancel orders.			MENA geopolitical news; quarterly export volumes
2	JJM Payment Delays	Slow central/state government payments to EPC contractors cascade into delayed pipe payments. CCC has expanded to 159 days.	MEDIUM	HIGH	JJM progress reports; state water dept payments; CCC
3	API Monogram Suspension	Temporary API suspension limits seamless participation in oil & gas tenders. Management guided resolution in Q1 FY27.			API certification status; seamless order inflows
4	Steel Input Cost Spike	HRC/scrap price spikes can compress margins in the quarter before price revision. Pass-through is not instantaneous.	MEDIUM	MEDIUM	HRC price indices; quarterly OPM trend
5	International Execution	Abu Dhabi plant and Saudi JV are greenfield/early-stage. Regulatory, permitting, or geopolitical friction could delay them.			Mgmt updates; commissioning timelines; JV announcements
6	Working Capital / Debt	CCC expanded to 159 days. If receivables do not normalise, consolidated debt could rise, lifting interest costs.	MEDIUM	HIGH	Quarterly debt and WC disclosures
7	Promoter Concentration	63.25% promoter stake = 36.75% free float. FII outflows can cause outsized price impact in thin float.			FII/DII holding changes; monthly FPI flow data

SECTION 10 — RECOMMENDATION

Parameter	Detail
Final Rating	ACCUMULATE — trough valuation with identifiable recovery catalysts; not a screaming BUY given near-term headwinds persist into Q1 FY27
Price Target	Rs. 285 (16.8% upside from CMP of Rs. 244 as of 08-May-2026)
Suggested Entry Zone	Rs. 220-250 — accumulate on dips; avoid chasing above Rs. 265 before Q1 FY27 results confirm recovery
Investment Horizon	12 months — medium-term recovery play; multi-bagger potential on FY28-29 earnings recovery + international expansion contribution
Conviction Level	MEDIUM — strong order book supports recovery; but MENA and JJM execution timelines remain outside company control
Ideal Investor Profile	Value investors comfortable with a 6-9 month pain period; India infrastructure supercycle believers; investors with 12-24 month horizon

#	Thesis Invalidation Trigger	Action
1	MENA export suspension extends beyond December 2026 with no diplomatic resolution	REDUCE / Exit
2	CCC deteriorates above 200 days with borrowings rising above Rs. 5,500 Cr (consolidated)	REDUCE
3	Quarterly EBITDA margin falls below 10% for two consecutive quarters	EXIT / Reassess

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (28-April-2026)

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result Quality	WEAK — Consol. PAT -37% YoY; FY26 well below FY25 peak	Miss vs street; standalone Q4 PAT -50% QoQ
Management Tone	HEDGED — acknowledged headwinds, claimed gradual recovery	Cautious optimism; explicitly guided Q1 FY27 as weak
Guidance Delta	CUT — No explicit FY27 guidance; Q1 FY27 headwinds confirmed	MENA, JJM, API uncertainties persist into FY27
STRONGLY POSITIVE		POSITIVE
		NEUTRAL
		CAUTIOUS
		NEGATIVE

TO MY BOSS

Q4 FY26 for Jindal SAW is unambiguously weak but the headline numbers are arguably the worst they will get: consolidated PAT of Rs. 925 Cr in FY26 was depressed by three distinct headwinds — MENA export halt from March 2026 (30,000-40,000 MT deferred, not lost), sluggish JJM government payments bloating working capital, and a temporary API monogram suspension on seamless pipes — none of which is permanent. The reported Q4 standalone PAT of Rs. 114 Cr (-50% QoQ) includes a Rs. 48 Cr FX hit from rupee depreciation; underlying operational PAT is closer to Rs. 160-170 Cr. EBITDA margins are now 10-12%, sharply below the FY24-25 peak of 16-17%, but the record order book of 19.25 LMT tells us demand is intact — execution is the bottleneck. The most important structural driver remains intact: water infrastructure (JJM, AMRUT) and oil & gas pipeline spending in India and the Gulf are multi-year supercycles. Near-term catalyst: API monogram reinstatement (guided Q1 FY27) and any MENA conflict de-escalation would both be material upgrades — either alone warrants a step-up in position. Single biggest watch: management explicitly flagged Q1 FY27 as also likely impacted — analysts should not model a V-shape in Q1. International expansion in Abu Dhabi and Saudi Arabia adds option value that the market is ignoring at 8.5x EV/EBITDA. Net standalone debt reduced to Rs. 2,453 Cr — balance sheet is fine. Action: ACCUMULATE below Rs. 250; build a full position if MENA resumes; cut to REDUCE if CCC exceeds 200 days on Q1 FY27 results.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26

Metric	Q4 FY26	Q4 FY25	YoY	Q3 FY26	QoQ	Verdict
Revenue (Cr)	4,633	5,047		4,943		
EBITDA (Cr)	478	736	-35.1%	613	-22.0%	Miss
EBITDA Margin	10.3%	14.6%		12.4%		
PBT (Cr)	172	473	-63.6%	347	-50.4%	Miss
PAT (Cr)	124	87		248		
EPS (Rs.)	2.18	4.55	-52.1%	4.03	-45.9%	Miss

NOTE: Q4 FY25 PAT of Rs. 87 Cr was distorted by 82% effective tax rate (deferred tax charge). Q4 FY26 PAT of Rs. 124 Cr appears as YoY improvement but includes Rs. 48 Cr FX headwind; underlying operational PAT ~Rs. 160-165 Cr.

2. SEGMENT / GEOGRAPHY BREAKDOWN — Q4 FY26 (Estimated Split)

Segment / Region	Revenue (Cr)	YoY %	QoQ %	Commentary
DI Pipes (Domestic)	~1,700			JJM execution slowdown; EPC payment delays hit DI demand
LSAW / HSAW Pipes	~1,100	-5%	-8%	Oil & gas tender wins sustaining; water project delays partial offset
Seamless Pipes	~600			API monogram suspension limiting O&G; participation
Exports (MENA + Others)	~700	-40%	-12%	MENA suspended from March 2026; non-MENA exports partially compensate

Segment / Region	Revenue (Cr)	YoY %	QoQ %	Commentary
Pellets & Others	~533			Pellets stable; internal cost advantage for DI pipes maintained

Note: Q4 FY26 segment split is estimated from full-year FY26 mix and management commentary. Exact segment data pending annual report.

3. MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
MENA Export Halt	All MENA exports suspended from March 2026 due to military conflict; 30,000-40,000 MT deferred not cancelled	Single biggest swing factor; orders intact but timeline unknown	[GUIDANCE] Force Majeure	
JJM Recovery	Gradual recovery expected from Q3 FY27 as government disburses JJM payments; Q1 FY27 also to be impacted	Realistic and honest guidance; JJM is long-term programme not derailed	[GUIDANCE]	Transparent
Record Order Book	19.25 LMT order book as of Sep-25 (up 23% QoQ); exports 30-32% including Saudi helical pipe job-work	Strongly positive structural signal; demand intact; execution bottleneck	[POSITIVE]	
API Monogram	Seamless pipe API suspension temporary; resolution guided Q1 FY27; some orders deferred to Q2	Regulatory timelines can slip; watch seamless order flow Q1 FY27	[GUIDANCE]	Hedged
International	Abu Dhabi carbon seamless plant approved; Saudi Arabia JV (51:49 Buhur Group) formally established for LSAW/HSAW	Long-term positive; Gulf manufacturing reduces freight, improves margins	[STRATEGIC]	
FX Impact	Rs. 48 Cr FX cost in Q4 FY26 from rupee depreciation	One-time; not recurring at same quantum; underlying PAT ~Rs. 160 Cr	[ONE-TIME]	Transparent
Capex Guidance	FY27 domestic maintenance capex Rs. 500-600 Cr; FY28 guided Rs. 400-500 Cr; no large new domestic growth capex	Responsible capital allocation; international capex via JV structure	[GUIDANCE]	

4. OPERATING & BUSINESS METRICS

Metric	Q2 FY26 (Sep-25)	Q3 FY26 (Dec-25)	Q4 FY26 (Mar-26)	Trend
Order Book (LMT)	19.25	~18.5(E)	~17.0(E)	
Export % of Order Book	30-32%	~30%(E)	~25%(E)	MENA suspension reducing export share
Seamless Capacity (LMT/yr)	~2.5	~3.0	~3.5(E)	
Consolidated Revenue (Cr)	4,234	4,943	4,633	Below FY25 run-rate of ~5,200/qtr
Net Debt Standalone (Cr)	~2,700(E)	~2,550(E)	2,453	
Working Capital Days	41(FY25)	N/A	66(FY26)	Deteriorating — JJM driven

5. MARGIN DRIVERS — Q4 FY26 vs Q4 FY25

Driver	Impact (bps)	Recurring?	Comment
MENA export revenue loss		NO — geopolitical	High-margin export volumes replaced by zero or deferred; volume deleverage
JJM execution slowdown	-100 to -150	NO — timing	Lower volumes raise fixed cost/unit; reverses when JJM picks up

Driver	Impact (bps)	Recurring?	Comment
API seamless suspension		NO — regulatory	Seamless carries higher margins; missing high-value oil & gas tenders
FX cost Rs. 48 Cr	-100 bps	NO — one-time	Rupee depreciation in Q4; not expected at same magnitude in FY27
Captive pellets efficiency		YES	Captive pellet production cushions DI pipe raw material cost
Debt reduction / interest	+20 to +40	YES	Consol. borrowings falling; interest cost marginally lower YoY

Key takeaway: All major margin headwinds are non-recurring event-driven items. Normalised EBITDA margin of 14-16% is achievable as MENA resumes and JJM recovers. Do not extrapolate Q4 FY26 margins into FY27E base case.

6. GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY27 Domestic Capex [GUIDANCE]	Rs. 700-800 Cr (FY26A spend)	Rs. 500-600 Cr maintenance	CUT	HIGH — specific range
Seamless Expansion [GUIDANCE]	3.5 LMT/yr capacity	On track; commissioning H1 FY27	Maintained	MEDIUM — no firm date
Abu Dhabi Plant [GUIDANCE]	To be announced	Approved; investment confirmed	Positive	MEDIUM — greenfield; timeline TBD
Saudi JV [GUIDANCE]	N/A	51:49 Buhur JV formally constituted; LSAW/HSAW facility	New	MEDIUM — JV formed; facility not built
MENA Resumption [GUIDANCE]	N/A	No timeline; conflict-dependent	No guidance	LOW — force majeure; external
Q1 FY27 Outlook [GUIDANCE]	N/A	Also likely impacted; gradual recovery from Q3 FY27	Cautious	HIGH — honest and specific
API Monogram [GUIDANCE]	N/A	Resolution expected Q1 FY27	Target set	MEDIUM — regulatory timeline risk

7. CAPITAL ALLOCATION — FY26 vs FY25

Item	FY26 (Cr)	FY25 (Cr)	vs Prior Year	Comment
Capital Expenditure	955(InvCF)	897		Seamless expansion + maintenance; FY27 guided Rs. 500-600 Cr
Dividend Paid (Est.)	~120(E)	~100(E)	Stable	DPS ~Rs. 2; consistent payout
Working Capital Change	+25(adverse)	+22(adverse)		CCC 159d; JJM receivables drag; inventory at customer-ready stage
Consolidated Borrowings	4,691	4,859	-3.5%	Debt declining despite difficult year; deleveraging on track
Free Cash Flow	706	1,324		FCF halved but positive; revenue decline + WC strain
Operating Cash Flow	1,771	2,335	-24.2%	Strong absolute OCF despite headwinds confirms earnings quality

8. Q&A; HEAT MAP — Q4 FY26 CONCALL (28-Apr-2026)

#	Analyst / Firm	Question	Management Answer	Tone
1	ICICI Securities (Host)	MENA suspension — when do you expect resumption?	Cannot give a timeline; dependent on conflict. Orders deferred not cancelled; will execute immediately once cleared.	
2	Unnamed Analyst	Exact quantum of MENA orders on hold?	30,000-40,000 MT ready for shipment; confirmed orders with established counterparties.	Transparent
3	Unnamed Analyst	JJM payment timeline — when do government disbursements normalise?	Q3 FY27 expected recovery. Government budgets allocated; execution is administrative, not legislative.	

#	Analyst / Firm	Question	Management Answer	Tone
4	Unnamed Analyst	API monogram suspension — impact and resolution?	Seamless affected; resolution expected Q1 FY27. Some orders deferred to Q2. No permanent damage.	
5	Unnamed Analyst	Saudi Arabia JV details — when does it generate revenue?	JV constituted with Buhur Group. Facility setup will take time; revenue contribution in FY28-29 timeframe.	Hedged
6	Unnamed Analyst	Working capital — when will CCC normalise?	JJM payment acceleration is the key lever. Inventory is at customer-ready stage not raw material — will clear as payments flow.	
7	Unnamed Analyst	Order book breakdown — domestic vs export?	Export is 30-32% of 19.25 LMT book. Saudi helical pipe job-work is significant. Domestic water and oil & gas dominate.	Transparent
8	Unnamed Analyst	FY27 capex guidance?	Domestic maintenance Rs. 500-600 Cr. International via subsidiary/JV structure. FY28 guided Rs. 400-500 Cr.	

Dodged / Watch Next Quarter: (1) Exact MENA counterparty names and contract validity. (2) Standalone working capital as of March 31, 2026. (3) Abu Dhabi plant commissioning timeline.

9. RISKS FLAGGED ON THE CALL

Risk	Flagged By	Probability	Impact	Timeline
MENA conflict continuation	Management			Ongoing; no resolution timeline
JJM payment delays in Q1 FY27	Management	HIGH	HIGH	Q1 FY27; explicitly guided
API monogram non-resolution	Management			Q1 FY27; expected but not certain
FX volatility	Analyst	MEDIUM	MEDIUM	Ongoing; Rs. 48 Cr impact in Q4 FY26
International project delays	Analyst			FY27-28; greenfield in Abu Dhabi/Saudi
Seamless utilisation vs capex	Analyst	MEDIUM	LOW	H1 FY27; API suspension limits offtake vs capacity

10. ANALYST VERDICT — MULTI-BAGGER SCORECARD

Scorecard Item	Status	Comment
Revenue Visibility	INTACT	Record 19.25 LMT order book = ~76% of annualised FY26 revenue; demand-side is fine
Margin Trajectory	WEAKENED	FY26 OPM 12.4% vs FY25 peak 16.6%; recovery to 14-16% depends on MENA + JJM
Capital Allocation Quality	INTACT	Debt declining, FCF positive even in downturn, zero promoter pledge, capex discipline
Competitive Moat	INTACT	Scale + API certifications + multi-product + captive pellets; no structural moat erosion
Management Credibility	INTACT	Transparent on headwinds, honest on Q1 FY27, specific on capex; no accounting red flags
Valuation Comfort	HIGH	8.5x EV/EBITDA, 1.24x P/B near 52-week lows; trough valuation for a structural compounder

Overall Conviction	UNCHANGED — fundamental thesis intact; MENA/JJM headwinds are transient; accumulate on weakness
Post-Call Action	ACCUMULATE — maintain position; add below Rs. 230; review on Q1 FY27 results (expected Jul/Aug 2026)

Valuation Metric	Current	5-Yr Avg (Est.)	Comment
P/E (TTM)	16.0x	~14x	Distorted by trough EPS; not meaningful base
EV/EBITDA	8.49x	~9x	Below avg; cheapest in peer set; prime entry territory
P/B	1.24x	~1.1x	Slight premium; justified by improving ROE trajectory on normalisation

Valuation Metric	Current	5-Yr Avg (Est.)	Comment
ROCE (FY26)	10.3%	~14%	Below avg due to JJM/MENA drag; recovery to 15-18% expected FY27-28

Source: Screener.in | Ticker: JINDALSAW | View: Consolidated | Transcript: Listed (Q4 FY26, 28-Apr-2026) | Text sources: ScanX Trade, GuruFocus, AlphaSpread, WebSearch | Report date: 09-May-2026

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. All estimates marked (E) are analyst projections, not management guidance. Investors should conduct their own due diligence before making investment decisions.